# EU II: Institutions of the EU (AUW)

*Political Science — Master Notes · by Jakob V. Stangel*

**Required reading:** Bulmer, Parker, Bache, George & Burns (2020), *Politics in the European Union*, 5th ed., OUP — **ch. 12, "The Institutional Architecture"** (pp. 205–237). *(Built **deck-first**, then enriched from Bulmer ch. 12 — which supplies the treaty basis (**TEU/TFEU** & the "**Union method**"), the **contested** Commission right of initiative, fuller **QMV** rules, the advisory bodies (**EESC/CoR**), the **budgetary procedure**, national parliaments' subsidiarity "**cards**", **CFSP** machinery, and **enhanced cooperation**. Marked (Bulmer) where a point is reading-only.)*

**Theme of the lecture.** This lecture maps the **institutional and legal machinery** behind the EU's **multi-level governance**: *who does what* (propose, decide, implement, enforce), *how* a decision becomes binding EU law, and *why* the shape of the architecture matters — it varies by policy area and it is exactly where the two theories from EU I (liberal intergovernmentalism vs neofunctionalism) fight it out. Three questions structure it: **Where is EU authority? · How does the EU make & enforce decisions? · Why does the architecture matter?**

> ★ **The heart of the lecture:** EU authority is **pooled, delegated and shared** across **levels** (EU ↔ member state) and across **bodies that each represent a different interest**. The "**typical**" way a law is made: **Commission proposes → Parliament + Council co-decide (the Ordinary Legislative Procedure, usually by Qualified Majority) → member states implement → Commission + CJEU enforce.** But this model **changes across policy areas** (some stay intergovernmental, e.g. foreign policy) and membership is **differentiated** (euro, Schengen).
> **Red thread:** the split between **supranational** bodies (Commission · Parliament · CJEU) and **intergovernmental** bodies (European Council · Council) *is* the institutional form of the **neofunctionalism-vs-LI** debate.

**Key concepts to apply:** *pooled / delegated / shared authority · supranational vs intergovernmental bodies · the right of initiative · Ordinary Legislative Procedure (co-decision) · Qualified Majority Voting (55% / 65%) · conferral · subsidiarity · proportionality · exclusive / shared / supporting competence · regulations · directives · decisions · positive vs negative integration · mutual recognition (Cassis de Dijon) · differentiated integration.*

## Where is EU authority?

***Core:*** there is **no single sovereign** in the EU. Authority to **propose, decide, implement and enforce** is **distributed** — **pooled** (states decide together), **delegated** (handed to a common body), and **shared** — across **two levels** and several bodies.

- **Two levels:**
  - **EU level: European Council · European Commission · Council of the EU · European Parliament · Court of Justice of the EU (CJEU).**
  - **Member-state level:** national **governments · legislatures · administrations · courts.**

- *In plain terms:* the EU isn't a government sitting "above" the states; it's a **system** in which the same task (making and enforcing a rule) is split among European bodies *and* national ones. This is what "**multi-level governance**" means.

## The EU is governed by treaty — TEU & TFEU *(Bulmer)*

***Core:*** the EU has **no constitution**; its authority comes entirely from **treaties** the states signed. Since the **Lisbon Treaty (in force December 2009)** there are **two**: the **TEU** (Treaty on European Union) and the **TFEU** (Treaty on the Functioning of the EU). Every EU act must cite the **treaty article** ("Treaty base") that authorises it.

| Treaty | What it sets out |
|---|---|
| **TEU** | the **broad principles** (democracy…), the **general role of the institutions**, **who may join** and **how a state may leave** (Art. 50 — new in Lisbon), and the **CFSP** *(kept largely outside the Court's jurisdiction)* |
| **TFEU** | the **detailed operation** of the institutions and **all other policy areas** — Bulmer calls this the **"Union method"** (the updated name for the old "Community method") |

- **Lisbon abolished the "three-pillar" structure** (1993–2009: (1) European Community, (2) CFSP, (3) Justice & Home Affairs). Everything except **CFSP** was merged into a single order run by the **Union method**; **CFSP stays distinctively intergovernmental** (see why the architecture matters).
- **Why it matters:** because power flows from the treaty base, *which article a proposal is built on* decides *which procedure and voting rule* apply — so the **choice of legal base is itself a site of conflict** (see the 1990 maternity-rights dispute).

## The five EU bodies — each represents a different interest

***Core:*** the genius (and the tension) of the design: each institution is built to **represent a different constituency**, so EU decisions have to reconcile them. Learn this table cold — it's the backbone of the whole lecture.

| Body | Who sits there | Whose interest it represents | Core role |
|---|---|---|---|
| **European Council** | heads of state/government (27) + its President + Commission President | **national governments** — the top political level | sets **strategic direction** (not a legislator) |
| **Council of the EU** ("the Council") | national **ministers** (by policy area) | **member-state governments** | **co-legislates**; coordinates national policy |
| **European Parliament (EP)** | directly elected **MEPs** | **EU citizens** | **co-legislates** + **oversight** |
| **European Commission** | Commissioners + the EU civil service | the **Union-wide** general interest | **proposes** law; **implements**; **enforces** |
| **CJEU** | judges | the **EU legal order** | **interprets** & **adjudicates** EU law |
| *(watchdog)* **Court of Auditors** | auditors | sound use of EU money | **audits EU finances** |

- **The supranational / intergovernmental split** (keep it in view for the theory section): **Commission · EP · CJEU** are **supranational** (they serve the Union as a whole, above the states); **European Council · Council** are **intergovernmental** (they *are* the states). Every EU decision is a negotiation between these two logics.

## The basic architecture — the flow of a decision

***Core:*** the bodies fit together in a **rough sequence**: direction → proposal → decision → implementation → enforcement.

```
European Council   → sets broad political direction
        ↓
European Commission → proposes legislation
        ↓
Council + European Parliament → adopt EU legislation
        ↓
Member-state administrations → implement legislation
        ↓
Commission + CJEU + national courts → monitor, interpret & enforce
```

## European Council — governments set the direction

***Core:*** the **summit of national leaders.** It is the EU's **political compass**, not its legislature — it decides *where the Union is going*, and unblocks the biggest fights.

- **Who:** the **heads of state or government of the 27**, plus the **European Council President** and the **Commission President.** *(Don't confuse it with the Council of the EU — ministers — or the Council of Europe, a separate non-EU human-rights body from EU I.)*
- **What it does:** defines **broad political priorities**; provides **strategic direction**; **resolves major political disagreements** that ministers can't; gives "**political impetus**" to integration.
- **Why it's the intergovernmental heart:** it is literally the **national governments** in the room. In an LI reading, this is where the states — the "masters of the treaty" — steer.

## European Commission — the engine of EU policy

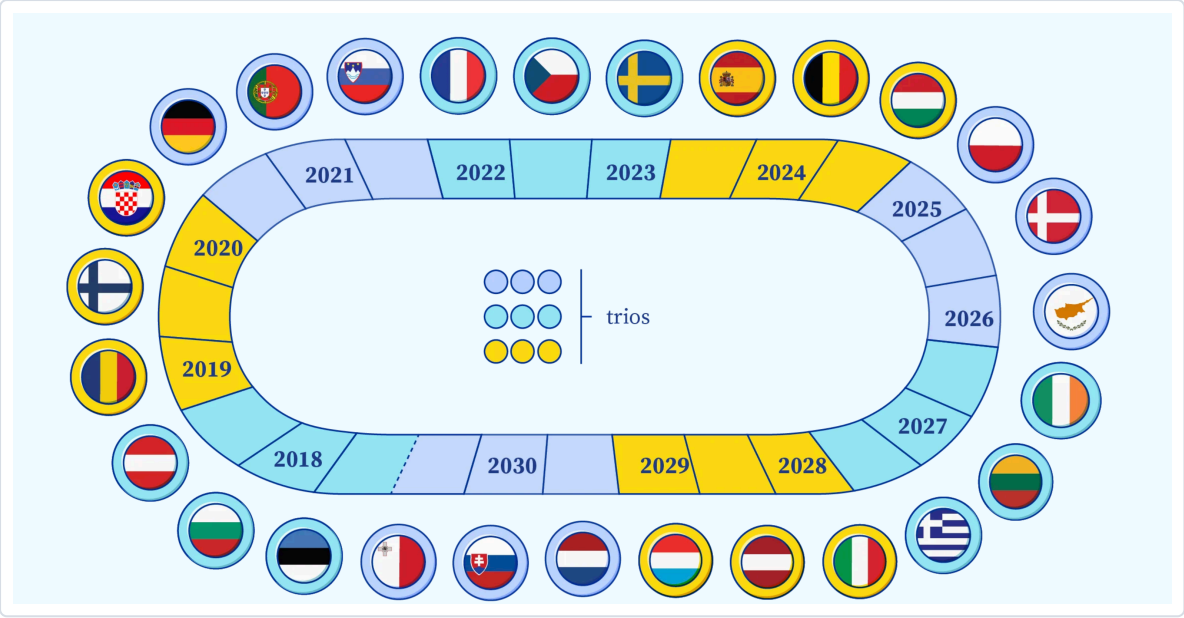
***Core:*** the EU's **executive and its motor.** Crucially, it holds the **right of initiative** — it **proposes** almost all EU legislation — and then **implements** and **polices** it. It represents the **Union-wide interest**, not any one country.

- **Four jobs** (PROPOSE · EXECUTE · ENFORCE · REPRESENT):
  1. **Proposes** — **initiates most EU legislation** and develops policy (the **right of initiative** — a huge power: it sets the agenda).
  2. **Executes** — manages EU **programmes and funding**; implements policy.
  3. **Enforces** — monitors compliance and can launch **infringement proceedings** against a state that breaks EU law.
  4. **Represents** — speaks for the EU **internationally** where it has competence (e.g. trade).
- **The right of initiative is *contested*, not absolute** *(Bulmer — a key debate)*. The Commission is *formally* the sole initiator, but the monopoly is hedged: **(1)** the **European Council** sets the strategic agenda the Commission then follows; **(2)** the **EP can request a proposal** (Art. 225 TFEU) and is hard to ignore; **(3)** the **Council can too** (Art. 241); **(4)** a **Conciliation Committee** can agree a text the Commission didn't write; **(5)** it always **consults widely** (interest groups, national experts) first. → *So "Commission proposes" is real but shared — an inter-institutional negotiation, not a dictate.*
- **Guardian of the Treaties.** Beyond proposing, the Commission is the **watchdog** that makes sure states apply EU law — via **infringement proceedings** (Art. 258 TFEU).
- **Why it's the supranational engine:** its whole job is to think for the **Union as a whole.** In a neofunctionalist reading, the Commission is the "**cultivated spillover**" actor — the Eurocrat that pushes integration forward.

## Council of the EU — member states as legislators

***Core:*** the **national ministers**, acting as the EU's **other legislative chamber** (alongside the EP). It is **not one fixed group of people** — it changes membership by topic.

- **Who / configurations: national ministers** meet in different **configurations by policy area** — Agriculture, Environment, Finance (ECOFIN), Competitiveness, etc. The relevant minister shows up for the relevant dossier.
- **What it does:** represents **member-state governments**; **co-legislates** with the EP; coordinates national policies; decides by **agreed voting rules** (usually **QMV**).
- **The rotating presidency — in "trios."** The chair of the Council rotates among member states every **6 months**, organised into **trios** of three countries that plan an 18-month programme together.




*How to read it.* The presidency isn't a person or a permanent seat — it **passes around the member states**, three at a time. Each **trio** (one colour) coordinates an 18-month agenda so priorities carry across the three six-month chairs. It's a concrete emblem of the Council's **intergovernmental, member-state-driven** character.

- **The Council is more than the ministers** (a key exam point): most of the real work happens **below** the ministers, among **diplomats and officials**, *before* ministers ever meet:

```
National ministers
      ↑  (formal adoption)
COREPER I & II   (committees of member states' permanent representatives / ambassado
      ↑
Working parties + national officials   (the technical bargaining)
      ↑
Council Secretariat
```

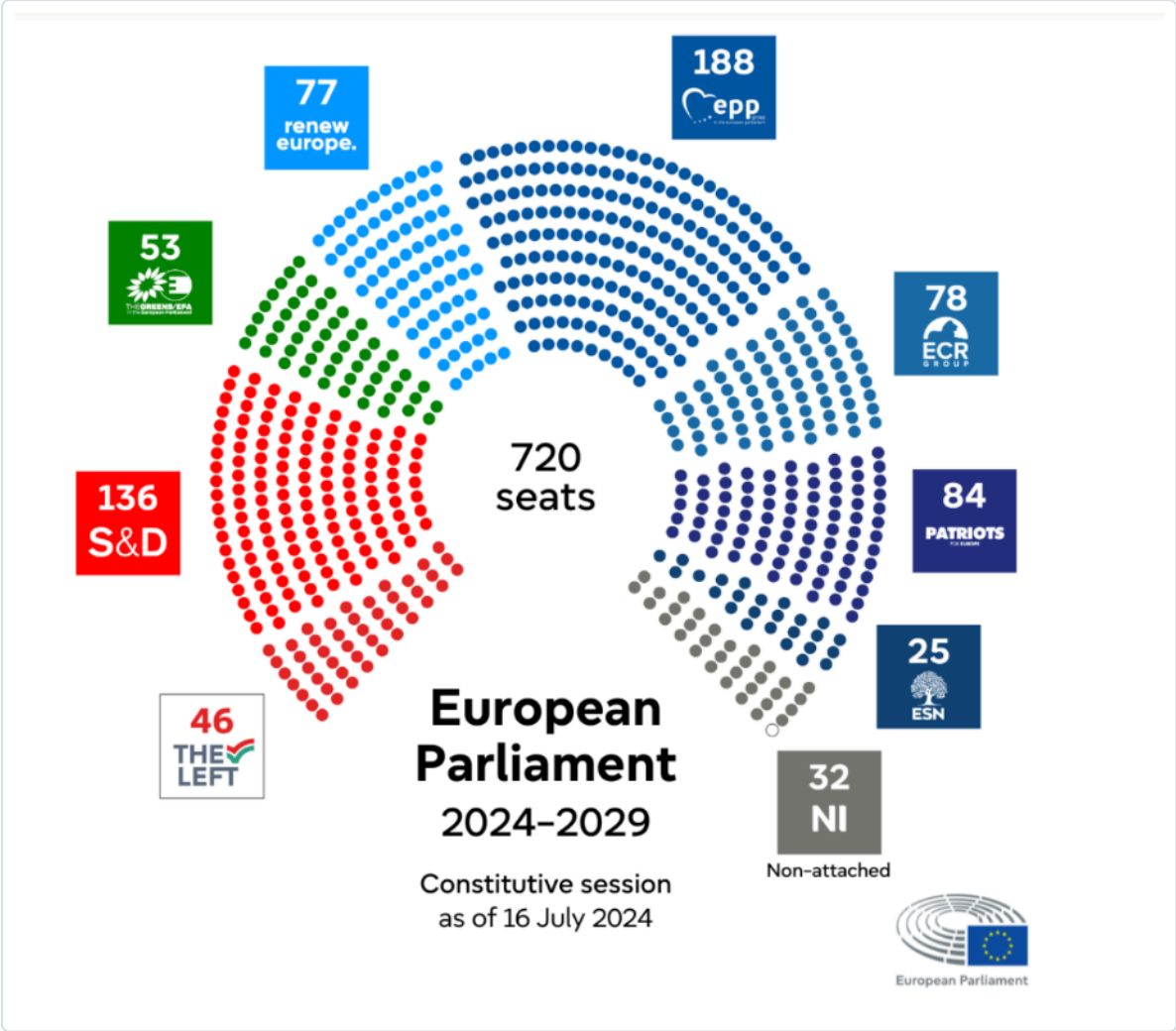
  → "**Much of the bargaining happens among diplomats before ministers meet.**" By the time ministers sign, most issues are already settled. *(This is exactly the "bureaucratic interpenetration" neofunctionalism talks about — national officials in constant contact.)*
- **In practice the Council prefers *consensus*, even when it could use QMV** *(Bulmer)*. Despite the spread of majority voting, ministers usually decide by **consensus** (Häge 2013). Governments often issue a **public statement of dissatisfaction even when they voted *for* a measure** — a way to **distance themselves at home** while keeping the consensual norm (Hagemann et al. 2019). → *The formal voting rule and the actual behaviour differ — a nuance the deck's "QMV" bullet hides.*

## European Parliament — citizens enter EU law-making

***Core:*** the EU's **only directly elected** body — the citizens' chamber. Once a weak "talking shop," it has **gained real power through successive treaties** and now **co-legislates** as an equal with the Council.

- **Who: MEPs, directly elected every five years**, representing **EU citizens** (organised into cross-national **political groups**, not national delegations — a group needs ≥ **23 MEPs from ≥ 7 states**).

- **What it does: co-legislates** with the Council under the **Ordinary Legislative Procedure**; can **amend or block** legislation; **oversees** the Commission (it approves and can censure it).




*How to read it.* The hemicycle seats MEPs **left-to-right by ideology**, grouped into **transnational political families**, not by country. After the **2024** election the centre-right **EPP (188)** is the largest group, then the centre-left **S&D (136)**; the **centre holds a working majority** (EPP + S&D + Renew) but the **right** (Patriots, ECR, ESN) grew. → *Illustrates that the EP is a genuine, party-political parliament — the "citizens' interest" the deck's table names.*

## Court of Justice of the EU — authority through law

***Core:*** the EU's **supreme court.** By **interpreting the treaties and EU law**, it ensures the law means the **same thing everywhere** — and in doing so it **shapes integration** itself.

- **What it does: interprets** the treaties and EU legislation; ensures **uniform application** across all states; **resolves disputes**; and **draws the boundary** between EU and national authority.
- **Why it matters for integration:** "**courts can shape integration.**" By deciding what EU law requires, the CJEU can push integration forward without any new treaty — the neofunctionalist "integration through law." *(Not to be confused with the **European Court of Human Rights**, which belongs to the Council of Europe — see EU I.)*

## Two advisory bodies — the EESC & the Committee of the Regions *(Bulmer)*

*Core:* beyond the five, two **consultative committees** have a **right to be consulted** on legislation (they advise, they don't decide). They matter because they bring **civil society** and the **subnational** level into the architecture.

- **European Economic & Social Committee (EESC)** — reps of **employers, workers, and "various interests"** (farmers, consumers, professions…); **329 members**, nominated by governments, sitting **in a personal capacity**. Consulted on social, single-market and related policy — but **not very influential, overshadowed by the elected EP**.
- **Committee of the Regions (CoR)** — reps of **regional & local government**, created by **Maastricht (1994)**. *More* influential than the EESC because it is **backed by powerful actors** — it was created at the insistence of the **German Länder**, worried their national government was signing away *their* powers to Brussels. → The CoR made itself the **champion of "multi-level governance"** (its 2009 White Paper), a natural **ally of the Commission** against central governments — a subnational echo of **cultivated spillover.**

## EU authority rests where the EU has *competence*

*Core:* the EU has **no general power to act** — only the powers the treaties give it, and those come in **three strengths.**

| Competence | Who may legislate | Examples |
|---|---|---|
| **Exclusive** | **only the EU** | customs union · the single currency · competition rules · common commercial (trade) policy · fisheries conservation · certain international agreements |
| **Shared** | **EU *and* member states** (states act where the EU hasn't) | internal market · environment · transport · consumer protection |
| **Supporting** | member states legislate; the **EU only supports/coordinates** | culture · education · tourism *(and areas kept largely national — health systems, taxation, defence)* |

- **Bulmer's catalogue actually has *four* heads** *(Insight 12.1, from Arts. 3–6 TFEU):* the three above **plus a distinct "policy co-ordination"** category for member states' **economic, employment and social policies** (the EU coordinates but doesn't legislate). *(CFSP sits outside this TFEU catalogue — it's in the TEU.)* Lisbon also spelt the catalogue out for the first time — partly a **German-Länder demand** to stop competence quietly drifting upward.

## Constitutional limits — conferral, subsidiarity, proportionality

*Core:* three principles **fence in** EU power so it can't simply expand at will.

1. **Conferral** — the EU can act **only where the treaties give it competence.** No treaty basis → no EU action. *(The default is that power stays national.)*
2. **Subsidiarity** — in **non-exclusive** areas, the EU should act **only when the objective can't be adequately achieved by member states** acting alone (decisions taken as close to citizens as effective).

3. **Proportionality** — EU action must **not go beyond what is necessary** to achieve its aim (use the lightest tool that works).

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## How does the EU make & enforce decisions?

### How an EU law actually gets made — the Ordinary Legislative Procedure

***Core:*** the "**typical**" model, also called **co-decision**: the **Commission proposes**, and the **Parliament and Council must *both* agree** — as co-equal legislators — before it becomes law.

- **The steps:**
  1. **Commission** — **agenda-setting**: develops and **proposes** the legislation (right of initiative).
  2. **European Parliament + Council of the EU** — examine and **amend** the proposal (each can propose changes).
  3. **Negotiation / readings** — the two co-legislators reconcile their versions (often in "trilogue" with the Commission).
  4. **Agreement** — **both** the EP **and** the Council approve the **same text**.
  5. **Adopted → implemented & enforced.**
- **The key feature: Parliament and Council co-decide as equals** — the citizens' chamber and the states' chamber must *both* say yes. Either can **amend or block.** → *This co-equal status is a major **deepening** of supranational democracy won over successive treaties (recall EU I: Maastricht's codecision, extended since).*

### Qualified Majority Voting (QMV) — how the Council decides

***Core:*** in the Council, most decisions pass by **QMV, not unanimity** — a **double majority** of states *and* population. The radical implication: **a national government can be *outvoted*** and still be bound.

- **The double threshold — a proposal passes with:**
  - **55% of member states** (i.e. **at least 15 of 27**), **AND**
  - states representing **65% of the total EU population.**
- **Why the two locks:** the **55% of states** protects the **many smaller** countries (one state, one vote); the **65% of population** protects the **few large** ones (Germany, France…). A measure needs **both** kinds of majority. *(A blocking minority therefore needs at least 4 states — so no 3 big states can veto alone.)*
- **Fuller rules & history** *(Bulmer):* if the proposal is **not** from the Commission the bar is **higher — 72% of states** (still 65% of population). QMV is now the **default** — "the Council shall act by a qualified majority except where the Treaties provide otherwise" (Art. 16(3) TEU) — the end of a long march that began when the **SEA (1986)** first brought QMV to single-market laws, and that **de Gaulle had blocked** back in the 1965 empty-chair crisis. Every treaty since has **extended** QMV to more areas.
- **Unanimity still rules the sensitive areas — foreign & security policy, taxation, social security, common defence, operational police co-operation, enlargement, language rules, the seat of the institutions** — where **every state keeps a veto.**

- **Why it matters (the deck's exercise):** under **QMV**, a **Danish farmer**'s government can be **outvoted** by a coalition of others — influence depends on building **coalitions**, and small states punch above their weight per capita. Under **unanimity**, *every* government (however small) holds a **veto**, so the **French farmer**'s government could block anything it dislikes. → **QMV = supranational (states can lose); unanimity = intergovernmental (states stay in control).**

## The OLP is the norm — but not the only procedure *(Bulmer)*

***Core:*** Lisbon made the **OLP the default**, but two "**special legislative procedures**" survive where states wanted to keep more control — the EP is weaker in both.

- **Consultation** — the Commission proposes, the **Council must *ask* the EP's opinion but can then ignore it**, and decides (often by **unanimity**). *(The CJEU's* **Isoglucose** *ruling (1980) established the Council must at least* ***wait for*** *the opinion before deciding.)* Now used in only ~20 areas.
- **Consent** (ex-"assent") — the EP **cannot amend**, but its **yes is required** — a **veto**. Main use: **international agreements**, including **accession of new members**, and the multi-annual budget framework.

## National parliaments get a say — the subsidiarity "cards" *(Bulmer)*

***Core:*** Lisbon, for the first time, let **national parliaments** police **subsidiarity** — a **subnational/national check** on the supranational legislative machine.

- **Yellow card:** if enough national parliaments (roughly **one-third**, within **8 weeks**) issue a **reasoned opinion** that a proposal breaches subsidiarity, the Commission must **review** it (and maintain, amend, or withdraw it).
- **Orange card:** a stronger version (a **simple majority** of parliaments) that, if backed by the Council or EP, can **kill** the proposal. **Never used.**
- **The yellow card has been played three times:** the **2012** "**right-to-strike**" **(Monti II)** proposal — Commission **withdrew** it; the **2013 European Public Prosecutor** — Commission pressed on via **enhanced cooperation** (22 states); the **2016 posting-of-workers** directive — Commission found "no case," adopted it (an **East–West split**). → *A real, if limited, brake — evidence for the "subnational component" the lecture flags.*

## The other track — the EU budget *(Bulmer)*

***Core:*** alongside legislation, the EU's **money** runs on its own procedure — and it shows the **European Council's agenda-setting power** at its clearest.

- **The multi-annual financial framework (MFF)** — the EU's **~7-year** spending envelope — is proposed by the Commission but **fought out in the European Council and agreed by *unanimity***. *(The 2014–20 MFF (~€960 bn): the UK, backed by NL & Sweden, forced real-terms cuts;* ***Merkel brokered*** *the deal.)* Every state has a **veto** on the big number.
- **The annual budget** then follows an **OLP-like cycle**: the **Commission** drafts it, and the **Council + EP co-decide** (via a **Conciliation Committee** if they clash). If no budget by **1 January**, the EU runs on "**provisional twelfths**" (1/12 of last year's budget per month).

- **Discharge:** each year the **EP formally signs off** that the Commission spent the money properly — informed by the **Court of Auditors**' report. → *Money = where the intergovernmental European Council sets the ceiling and the supranational EP polices the spending.*

## After adoption — who implements? (adoption ≠ implementation)

***Core:*** the EU **makes** the rules but rarely **applies** them itself. **Implementation is mostly national** — a defining feature of the EU's "**small state**" design (recall EU I: most EU law is enforced by national officials).

```
EU organs        → adopt the legal framework
        ↓
National administrations → apply the rules in practice
        ↓
National courts / authorities → handle individual cases
        ↓
European Commission → monitors compliance
        ↓
CJEU → settles disputes over EU law
```

## Not all EU law works the same way — regulations, directives, decisions

***Core:*** the EU has **three main legal instruments**, and they create **different relationships** between EU and national authority. Know the differences — a classic exam distinction.

| Instrument | Binding force | National transposition? |
|---|---|---|
| **Regulation** | **directly applicable** — becomes law in every state **as written**, automatically | **No** — no national law needed |
| **Directive** | binding as to the **result/objective**, but leaves the **means** to states | **Yes** — states must **transpose** it into national law (choosing *how*) |
| **Decision** | **binding in full** on **specific** addressees (a state, company or individual) | **No** — applies directly to whom it names |

- *In plain terms:* a **regulation** is a Union-wide law imposed identically everywhere (strongly supranational); a **directive** sets a goal but lets each state legislate its own route (a softer, more flexible tool); a **decision** is a targeted order. **Different instrument = different degree of central control.**
- **Directives transpose in *two* stages** *(Bulmer):* (1) **transposition** into national law, then (2) **application on the ground** by national administrations — and **compliance varies**, which is why the Commission polices it. **Recommendations & opinions** also exist but have **no legal force** (political weight only).
- **Legislative vs non-legislative acts** *(Lisbon):* not everything binding goes through the full legislative process — e.g. a **Commission competition ruling** fining a company is **legally binding** but non-legislative.

- **Soft law: the Open Method of Coordination (OMC)** *(Bulmer)*. Where the **EU lacks competence to legislate** (e.g. employment, social inclusion), states instead **compare and exchange best practice** and set voluntary targets — no binding law, just peer pressure and learning. *(A governance mode beyond the three legal instruments — "the EU is a very political animal.")*

## Integration through legislation *and* through courts (positive vs negative)

***Core:*** the EU integrates in **two ways** — by **building** common rules (positive) and by **striking down** national barriers (negative, often via the CJEU).

- **Positive integration** — EU institutions **create common rules**: legislation, **harmonization**, common standards. *(Building a shared framework.)*
- **Negative integration** — EU law **removes national barriers**: the **CJEU** interprets the treaties so that incompatible national rules **fall away**. *(Clearing obstacles to the four freedoms.)*
- **Landmark case — *Cassis de Dijon* (1979).** Germany blocked a French blackcurrant liqueur for being below its minimum alcohol content. The CJEU ruled the barrier illegal and established the **principle of mutual recognition**: a good **lawfully sold in one member state** may in principle be **sold throughout** the EU, even without harmonized rules. → *Illustrates:* **negative integration through courts** — the CJEU removing a national barrier to **free movement of goods**, deepening the single market without any new legislation. *(A textbook neofunctionalist "integration through law.")*

## Who enforces EU rules?

***Core:*** enforcement, like implementation, is **shared** between EU and national actors.

| Enforcer | Role |
|---|---|
| **European Commission** | monitors member-state compliance; brings **infringement proceedings** |
| **National authorities** | enforce EU rules **domestically** |
| **National courts** | apply EU law in **individual cases** (and can refer questions to the CJEU) |
| **CJEU** | **authoritative interpretation**; settles legal disputes |
| **European Court of Auditors** | **audits EU finances** |

- **The infringement route** *(Bulmer):* if a state breaks EU law, the Commission issues a **reasoned opinion** (Art. 258 TFEU) and, if the state still won't comply, takes it to the **CJEU** — which since **Maastricht** can impose **financial penalties** (Art. 260). Before Maastricht, a losing state faced only **moral pressure.**
- **Court of Auditors** *(Bulmer):* created **1975**, based in **Luxembourg**; **one member per state** (6-yr renewable term), **~850 staff** (two-thirds auditors); checks that revenue and spending were **lawful and regular** and publishes an **annual report** — the basis for the EP's **budget discharge**.

## Why does the architecture matter?

*Core:* the "typical" model (**Commission → EP + Council → law**) is **not universal.** The architecture **shifts by policy area**, and membership itself is **differentiated** — so "the EU" is really several different decision-systems at once.

- **It varies by policy area.** The standard supranational model dominates the **single market** and most regulation. But some areas stay **intergovernmental** — above all the **Common Foreign & Security Policy (CFSP)**:
  - driven by the **European Council + Council** (the member states);
  - **unanimity** generally required;
  - **more limited roles** for Commission, Parliament and CJEU. → *Where the EU is more supranational, integration can run ahead of states; where it's intergovernmental, states stay in charge. Same Union, different rules.*
- **CFSP machinery** *(Bulmer):* run by the **European Council** (strategy, by unanimity), the **Foreign Affairs Council**, and the **High Representative (HRUFASP)** — a **double-hatted** figure who is *also* a **Commission Vice-President** (Ashton → Mogherini → **Borrell**), backed by the EU's own diplomatic service, the **EEAS**. Decisions are mostly **declaratory, non-legislative**; the **CJEU is excluded**.
  - **Escape valves: "constructive abstention"** (a state can abstain, not block, and isn't bound); and an **Art. 31(2) TEU safeguard** — a state pleading "**vital reasons of national policy**" stops a QMV vote, kicking it up to the European Council. *(That safeguard is essentially a **CFSP-only Luxembourg Compromise**.)*
  - **But even here integration creeps:** the **EEAS** throws national and EU diplomats together (socialization), and in **2018 a group of states launched defence cooperation — PESCO** — via enhanced cooperation.

### Differentiated integration — common *and* varied

*Core:* **not every member state participates in every policy the same way.** The EU can be **both common and differentiated** — a patchwork, not a uniform bloc.

- **Euro** — **not all** EU members use the single currency (Denmark opted out; others haven't joined).
- **Schengen** — **differentiated** participation in the passport-free travel area (some EU states out; some non-EU states — Norway, Switzerland — in).
- **Enhanced cooperation** — a **group of states can move ahead** in an area without the others.
- **Enhanced cooperation — the rules** *(Bulmer):* a **minimum of 9 states**, only in **non-exclusive** areas, as a **last resort**, and it must stay **open** for others to join; the resulting acts **bind only the participants** and are **not part of the *acquis*.** Real uses: the **financial-transaction ("Tobin") tax**, **cross-border divorce law**, the **EU patent** (25 states, minus Italy & Spain), and **PESCO** (defence, 2017). The **Fiscal Compact** (2012, from the euro crisis) is a cousin — a treaty binding **22 states** (the UK & Czechia stayed out), tightening budget monitoring.
- **Two more Lisbon flexibility valves** *(Bulmer):*
  - **Emergency brake** — in a few sensitive areas (social security, judicial cooperation, CFSP), a state that fears being outvoted can **suspend the procedure and appeal to the European Council** — a

sovereignty escape hatch.

- **Passerelle ("gangway") clauses** — let the Council **switch an area to QMV/OLP *without* a new treaty** (always *toward* supranationalism). Juncker called them "**lost treasure**" (2018) — but they need **unanimity + EP consent**, and **by 2019 had never been used.** → *This flexibility is how a Union of 27 very different states keeps deepening without forcing everyone to move in lockstep — recall the **deepening/widening tension** from EU I.*

## The architecture as cooperation & conflict *(Bulmer)*

***Core:*** the chapter's analytical frame — and the lecture's stated focus on "**cooperation and conflict** between the EU's supranational, intergovernmental and subnational components." The institutions are **not a clean separation of powers** but a **fusion** of shared functions, held together by cooperation and pulled apart by recurring conflict.

- "**Institutions matter**" (new institutionalism; Keohane) — the formal rules **shape** who wins, which is why the LI-vs-neofunctionalism fight plays out *over the institutions*.
- **A functional division of labour, not Montesquieu:** the **European Council** sets direction (but doesn't legislate), the **Commission** initiates + guards + implements, **Council + EP** co-legislate, **CJEU + Court of Auditors** watchdog. Powers are **shared, not separated.**
- **The European Council has risen to the "apex."** Even though it **cannot legislate**, it now **shapes the context** of nearly everything (agenda, budget ceilings, crisis deals) — "**integration without supranationalisation**" (Fabbrini & Puetter). A strongly **intergovernmental** trend.
- **Cooperation is engineered** through **inter-institutional agreements (IIAs)** and **Conciliation Committees** that keep Commission, Council and EP working together.
- **Conflict is structural** — over **who initiates** (the contested right of initiative), over **the money** (budget hawks vs doves), and over the **legal base**: e.g. in **1990** the Commission built a **maternity-rights** proposal on a **health-&-safety** article (Art. 118A) precisely because that triggered **QMV** rather than unanimity; the UK objected to the base and threatened the CJEU before settling. → *Which treaty article you choose decides the voting rule — so the choice itself is a power struggle.*
- **Formal vs informal:** this is the **formal skeleton**; the **informal** relationships (and the organized interests that lobby at every stage) do much of the real work.

## ★ Integration theories & the institutional architecture

***Core:*** the payoff — the lecture ties the machinery straight back to **EU I's two theories.** The **supranational vs intergovernmental** split among the institutions **is** the LI-vs-neofunctionalism debate made concrete.

| | Liberal Intergovernmentalism | Neofunctionalism / Supranationalism |
|---|---|---|
| **Key actors** | **member-state governments** | **supranational bodies & non-state actors** |
| **Key mechanism** | **interstate bargaining** | **spillover** |
| **Key EU bodies** | **European Council + Council** | **Commission + EP + CJEU** |
| **View of integration** | stays **under state control** | can develop **beyond** state control |

- **How to argue with it** (the deck's exercise — apply each theory to a feature):
  - **QMV in the Council** → *LI:* states **agreed** the rules and still bargain (and kept unanimity for the sensitive stuff); *NF:* accepting you can be **outvoted** is states **losing control** to a supranational majority.
  - **Commission's right of initiative** → *LI:* a convenient agenda-setter serving state-agreed goals; *NF:* the engine of **cultivated spillover**, shaping outcomes.
  - **CJEU + *Cassis de Dijon*** → *NF:* **integration through law**, courts removing barriers autonomously; *LI:* states tolerate it because it serves their **collective** interest in a working market.
  - **CFSP + unanimity** → *LI:* proof states keep the **veto** where sovereignty is dearest; *NF:* the **limit** of spillover — an area still "**encapsulated**."
- **The takeaway:** you can read the **same institution** two ways. The architecture is contested terrain precisely because **whether the supranational or the intergovernmental bodies dominate a policy area** decides whether integration is **state-controlled or self-propelling.**

## ★ Fun facts & memorable details (EU II: Institutions)

> Sticky bits from the institutions lecture.

- **Three "Councils," endlessly confused** — the **European Council** (leaders, sets direction), the **Council of the EU** (ministers, legislates), and the **Council of Europe** (a *separate* non-EU human-rights body, from EU I). Mixing them up is the classic exam slip.
- **The Commission has the "right of initiative"** — almost **no EU law can start without it.** Whoever sets the agenda has quiet power; that's why neofunctionalists call the Commission the **engine.**
- **A government can be *outvoted* and still bound** — under **QMV**, lose the vote and the law still applies to you. That single fact is the sharpest evidence that the EU is **more than** an ordinary international organisation.
- **The real deals are cut by diplomats, not ministers** — by the time ministers meet, **COREPER** ambassadors and working parties have usually pre-cooked the agreement. The photographed handshake is often theatre.
- **The presidency is a relay baton, not a throne** — it **rotates every six months** in **trios**; no country "runs" the EU.
- ***Cassis de Dijon* — a blackcurrant liqueur** that quietly built the single market: from a squabble over French crème de cassis came **mutual recognition**, one of the most important integration principles, made by **judges**, not legislators.

- **A regulation vs a directive** — a regulation is the same law everywhere the day it passes; a directive just sets the **goal** and lets 27 parliaments each find their own way there. Same Union, very different grip.
- **National parliaments have a "yellow card"** — and they've played it: in **2012** enough of them killed a proposal touching the **right to strike**, and the Commission **withdrew** it. The stronger "**orange card**"**? Never used.**
- **Passerelle clauses are "lost treasure"** — Juncker's phrase (2018) for the Lisbon buttons that could switch areas to majority voting **without a new treaty.** Nobody has ever pressed one.
- **A blackcurrant liqueur built the single market** — *Cassis de Dijon* (1979) gave the EU **mutual recognition**, made by **judges**, not legislators.
- **The choice of *article* is a weapon** — in 1990 the Commission dressed up **maternity rights** as a **health-&-safety** measure just to get **majority voting** instead of a national veto. Which treaty base you pick decides who can block you.

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